AD-HOC OPINION · EUROPEAN LUXURY

Hermès after the third quarter: the leather core holds, the cyclical engine slows

26 October 2026 · CIO Office, Equity Team

Important notice. This note updates our opinion on Hermès of 19 October 2026 after the third-quarter sales published on 22 October. It relies on public information, company publications and third-party data. It sets out several possible approaches without favouring one, contains no house price target and is not a personalised recommendation. Prices are as of the close on 22 October 2026; technical levels date from the week of 14 October 2026.

The sector: luxury split in two, even inside Hermès

Luxury is in its third year of slowdown, and the recovery will be slow and uneven. European luxury groups had lost about €330bn of market value since January by mid-October. 2024 and 2025 were meant to be years of transition; 2026 is also turning out to be disappointing.

China no longer drives growth. The Chinese luxury market fell 3 to 5% in 2025, after a fall of 17 to 19% in 2024. Third-quarter sales confirmed it: LVMH again reported weak Chinese demand, and at Hermès, Asia excluding Japan, its largest region, was flat, which implies a slight decline in China.

The American client is still the main engine, but slowing. Hermès grew 9% in the Americas in the third quarter, against 15% in the first half. The risk is a stock market correction that would dent the wealth effect.

Price increases are no longer enough. Less wealthy "aspirational" buyers have dropped out, and Hermès has confirmed that its 2027 price rises will be smaller than the 5 to 6% of 2026.

The line runs between scarcity and volume. The most exclusive products hold up; the categories sold in volume suffer. LVMH's fashion and leather goods division fell 5% in the third quarter. Hermès now shows the same split within one house: leather goods grew 11%, while ready-to-wear fell 2% and watches 6%.

> "It's the volume divisions that are suffering, so fashion accessories, for example, and also watches and shoes."
> Hermès CFO, third-quarter revenue call, 22 October 2026

Two engines, two behaviours. Hermès' leather goods work on a supply-constrained model, with demand still above production, and have proved acyclical again. The rest of the house behaves like the luxury sector and moves with the cycle.

What this means for investors. We still see no clear short-term catalyst for the sector without a recovery in China. For Hermès, the quarter answered the question we raised on 19 October: the leather core is intact. The debate has moved to the price the market pays for the cyclical half. The next page sets out several ways to approach a position, each with its own trade-off.

Possible approaches for a position in Hermès

The third quarter clarified the picture without providing a short-term catalyst. The leather engine is intact, but the cyclical divisions and China are not recovering yet, and 2027 starts with smaller price increases and no major store openings. The next checkpoint is the full-year results in February 2027. Each approach below is reasonable; the choice depends on an investor's time horizon, the weight of Hermès and of luxury in the portfolio, and tolerance for waiting.

1. Patience

Keep the position as it is and reassess at the full-year results in February 2027. The investor keeps full exposure to the leather engine, which the quarter showed intact, and to any recovery in the cyclical divisions, at the lowest multiple since 2016.

Trade-off: the share may not move for several quarters while the cyclical half and China weigh, and the 2027 headwinds are not yet visible in reported figures.

2. Reduce gradually

Lower the weight of the line in several steps rather than at once, for example on rebounds. The investor reduces concentration in a share whose trend remains weak, while keeping part of the exposure to the leather core and to a recovery.

Trade-off: if the cyclical divisions recover faster than expected, the investor participates less; if the share keeps drifting, rebounds to sell into may be limited.

3. Reallocate part of the position

Reinvest part of the line in other quality companies, inside or outside luxury, that depend less on China and on the luxury cycle. The investor diversifies the drivers of the portfolio while possibly keeping a smaller Hermès position.

Trade-off: this means selling at the lowest multiple in ten years and giving up part of the most resilient asset in the sector, with the risk of chasing names that have already risen. Building the new positions gradually could limit this risk.

In every case

The decision is best taken on the outlook from today's price rather than on the share's past path. An investor who also holds LVMH or Christian Dior should look at the combined luxury weight: Hermès' cyclical divisions move with LVMH's fashion and leather goods, so the exposures overlap. Leather growth below 8% for two quarters would be the clearest sign that the core is weakening.

Hermès

RMS FP

The leather core is intact, the cyclical half sets the pace

Share price	Leather goods, Q3	Group growth, Q3	P/E (expected profits)
EUR 1,290	**+11%**	**+4.3%**	**29.3x**
Close on 22 October	+1pt vs. consensus	vs. 5% consensus	Lowest since 2016

Technical trend	Support	Resistance	Trend changes above
Bearish	**EUR 1,255.0**	**EUR 1,445.9 / 1,465.5**	**EUR 1,703.4**

Technical levels as of the week of 14 October 2026. Growth at constant exchange rates.

1. What the company does

Hermès runs two businesses under one name. **Leather goods and saddlery** (Birkin, Kelly and new models), about 47% of third-quarter sales, are made by hand in the group's own French workshops and sold with waiting lists. **The rest of the house**, from ready-to-wear and accessories (28% of sales) to silk, watches, perfumes and home, sells like other luxury goods.

2. Why it could do well

The scarcity engine is intact. Leather goods grew 11% in the third quarter, above the "close to 10%" we set as the test on 19 October, driven by new models and icons. Demand still exceeds production.

Capacity keeps rising. New leather workshops open through 2030, adding about 6% of capacity a year; with price, this supports leather growth near 10%.

Growth outside China holds. The Americas grew 9%, Japan 10% and Europe 7%, and management said US growth recovered towards double digits at the end of September.

3. What sets it apart

Leather goods behave acyclically: they grew 11% while LVMH's fashion and leather goods fell 5%. Hermès does not need discounts or volume to grow its core, and kept a 41% operating margin in the first half.

4. Is the share cheap?

Over 12 months the share fell 41% while expected earnings rose 3%: a derating, not an earnings problem. At 29.3 times expected profits, the lowest since April 2016, it trades 27% below its 40x average since 2005. How attractive 29x is depends on the cyclical half: valued like the sector, it would make today's multiple a fair blend; a recovery outside leather would make it look low.

5. Main risks

The second engine is suffering. Ready-to-wear and accessories fell 2%, silk rose only 1%, other Hermès sectors fell 1% and watches 6%. These categories move with the luxury cycle and are not recovering yet.

China. Asia excluding Japan, about 40% of sales, was flat after +3% in the second quarter; management linked China to equity markets and tax changes.

A tougher 2027. Price increases below the 5 to 6% of 2026, no major store openings after a 1 to 1.5 point contribution in 2026, and EUR 215m of currency headwind in 2026. Consensus earnings estimates were lowered after the release.

The share price trend remains weak. The share fell 4.9% on the release and trades 22% below its 40-week average.

6. What to watch next

Full-year results in February 2027: fourth-quarter growth back above 6% with Asia excluding Japan positive again, and a 2027 operating margin held near 40%. Leather growth below 8% for two quarters would signal that demand no longer exceeds supply. The new Grace Wales Bonner menswear line starts in January 2027. On the charts, EUR 1,255.0 is the level to watch on the downside; a move back above EUR 1,445.9 could confirm an improvement.

Conclusion

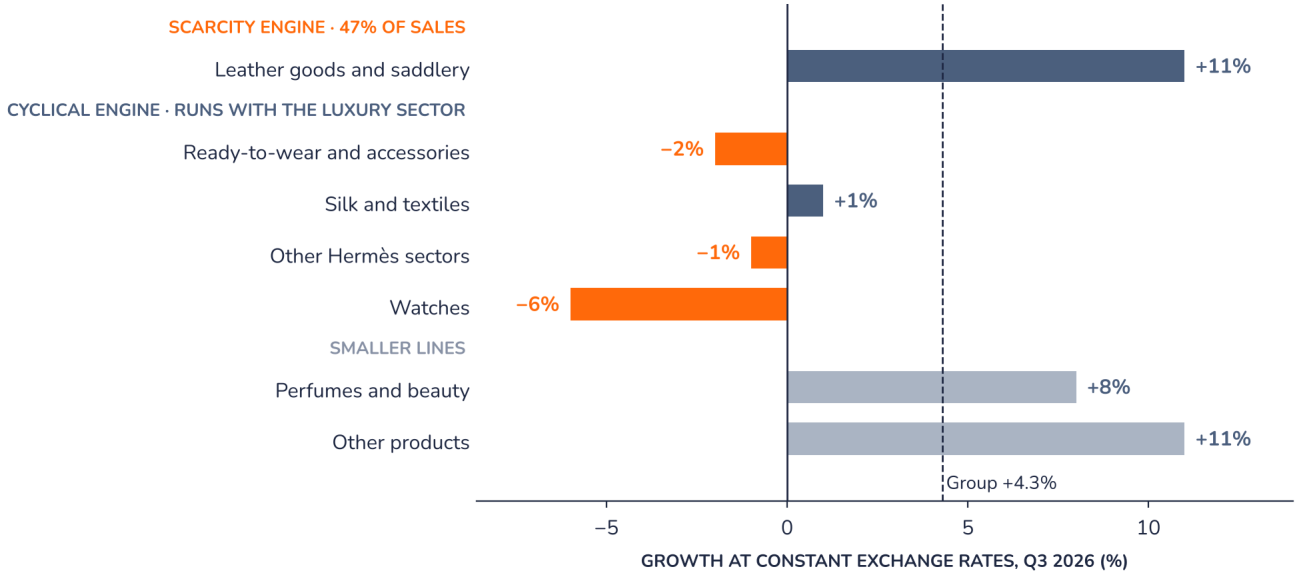
The quarter proved that the acyclical, highly premium leather engine is intact, while the second engine has suffered with the sector. The share trades at its lowest multiple since 2016, but valuation alone is not a catalyst, and the next test is February 2027. The right approach depends on each investor's horizon and exposure to luxury; page 2 sets out three options and their trade-offs.

Hermès: charts

RMS FP

Chart 1 · RMS: two engines in the third quarter

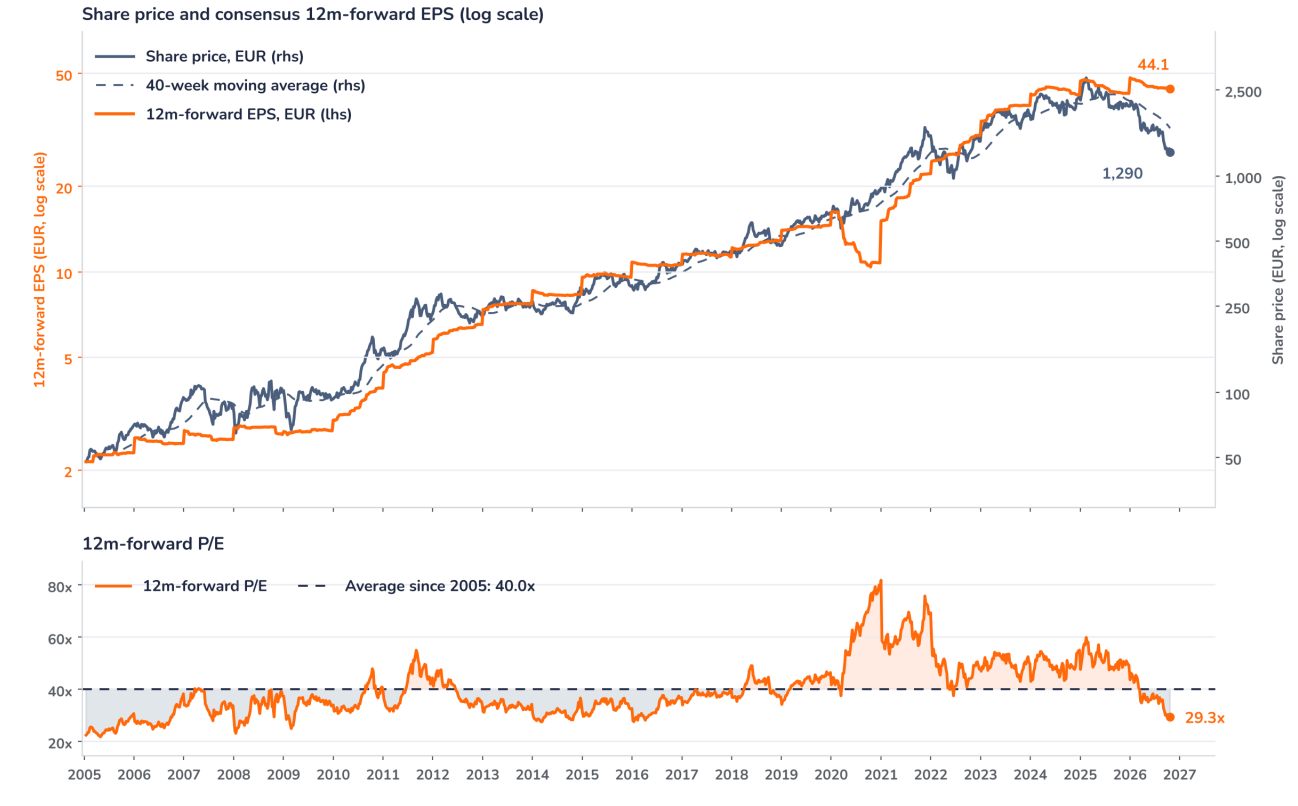
Revenue growth by division at constant exchange rates, Q3 2026 · Group +4.3% · Negative in orange



Leather goods grew 11%; the divisions that move with the luxury cycle were flat to negative. Source: Syz Research, Hermès Q3 2026 revenue release.

Chart 2 · RMS: share price vs. consensus earnings and valuation

Weekly, January 2005 to 22 October 2026 · 12-month forward consensus EPS · 40-week moving average · Log scale



Expected earnings kept rising while the share fell: the multiple dropped to 29.3x from 51.1x a year ago. Source: Syz Research, Bloomberg.

Sources

Market data, prices and valuation ratios: Bloomberg, as of the close on 22 October 2026.

Company information: Hermès International third-quarter 2026 revenue release and conference call of 22 October 2026; Hermès International first-half 2026 results; LVMH Moët Hennessy Louis Vuitton third-quarter 2026 sales.

Luxury market data: Bain & Company.

Technical levels: Syz Research, Bloomberg, as of the week of 14 October 2026.

Charts: Syz Research, Bloomberg, Hermès International.

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